Table 36.6 Trading Tactics

Trading Tactic	**Explanation**
Area gaps	These gaps are too short-lived to be traded profitably, consistently.
Breakaway gaps	If high volume is present at the start of a trend, then trade with the trend. Verify gap type by reviewing the identification guidelines before trading.
Continuation gaps	Continuation gaps usually mark the halfway point of a short-term price trend so you can gauge the eventual price move. Measure from the trend start (the nearest minor high or low) to the gap center and project the difference from the gap center to the predicted high or low.
Exhaustion gaps	If an abnormally wide gap occurs or a gap occurs at the end of a trend, then close out your position when the trend reverses. After an exhaustion gap completes, consider trading the new trend (shorting the stock if the prior trend was up). Violent reversals often follow exhaustion gaps. Close out the trade the day after new highs (for uptrends) or new lows (downtrends) fail to occur.
Stop loss	The lower rim (for uptrends) or the higher rim (for downtrends) of a gap is a good place to put a stop (15 cents or so away from the rim). Gaps provide near-term support or resistance (but it's weak), so this strategy works well with those gaps that do not close quickly.